

Multi-User Online Fax



**Reduced costs, simplified management
and enhanced productivity.**

Multi-User Online Fax meets the cost and security needs of a growing enterprise, delivered as a scalable, cloud-based solution.

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Introduction

Cloud service adoption has grown significantly over the years as legacy technologies fail to adapt to today's standards of automation, mobility and security. The shift to the cloud can also yield businesses significant cost savings, enhanced productivity and flexibility. With this change, business leaders need to ensure that their companies maintain the same level of reliability and security when moving their business practices online.

The global Online Fax market is projected to grow at a CAGR of 13.06% from 2020 to 2027.ⁱ



92% of enterprises say their IT environment (infrastructure, applications, data analytics, etc.) relies on the cloud, predicted to grow to 95% in 18 months.ⁱⁱ



61% of IT leaders cite cost-cutting initiatives as the reason to move to the cloud.ⁱⁱⁱ

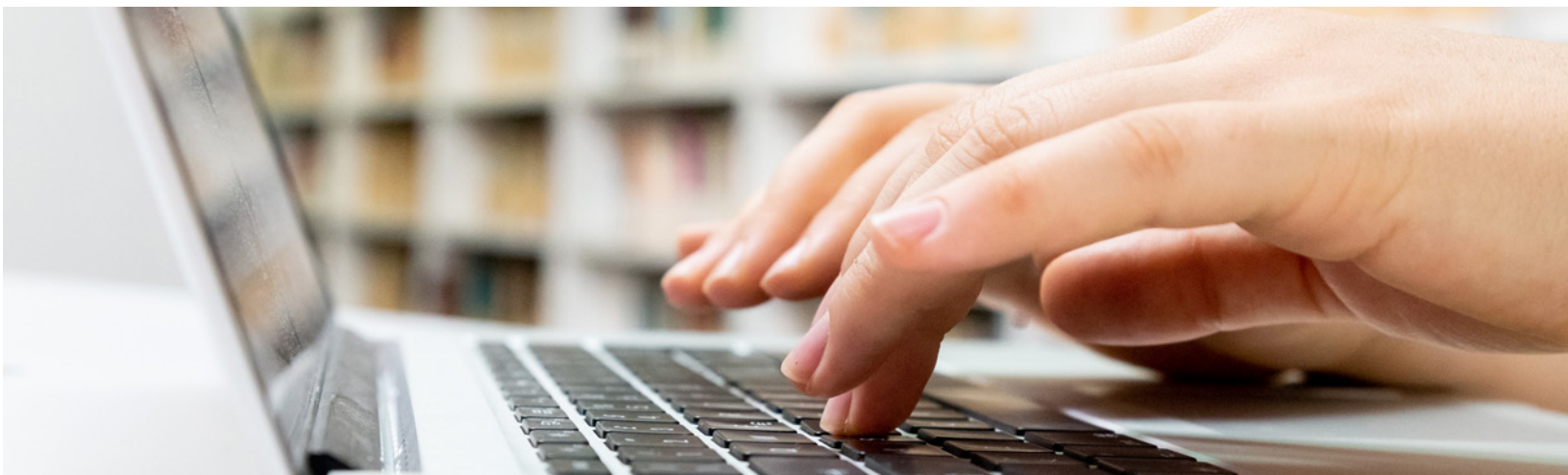
Fax as a technology remains an accepted means of transmitting confidential and legally-binding documents while upholding security and other privacy protocols. However, the transmission of important documents needs to conform to growing demands of a highly mobile workforce and fitting into a cloud-based document management workflow.

The adoption of enterprise online fax is being driven by specific needs in different industries, an increasing need of cost-effective fax solutions and a rising demand for digitalization especially during the ongoing COVID-19 epidemic.

Multi-User Online Fax at a glance:

- Implement pooled multi-line fax to hundreds of thousands of users quickly and cost-effectively with a solution that is scalable to meet the growing demands of business
- Eliminate hardware reliance and provide mobile access for employees
- Protect business with improved security, redundancy and disaster preparedness
- Maintain control with user administration, usage reporting and workflow customization
- Keep costs down with flexible, pooled plans
- Meet strict governmental regulation compliance requirements, including HIPAA
- Transfer (Port) existing fax numbers and provision new numbers

This whitepaper takes a deeper look at fax, cloud-based options versus traditional means, total cost of ownership (TCO) models and government state and industry regulations pertaining to security and compliance.



Compare: Traditional Fax/Fax Server VS Online Fax

	Traditional Fax/Fax Server	Online Fax Multi-Line
Security and compliance	- Publicly accessible; limited tracking and auditing - Dependent on vendor and infrastructure	- Complete data encryption - Fax-to-email transmits documents directly to recipients - HIPAA* and other industry regulation compliance
Outbound/inbound fax transmission	- Dependent on vendor, most send/receive features supported - Some application connectors offered at extra cost	- Attach multiple file formats via email client or web portal - Send to multiple recipients simultaneously - Customize cover sheet details - Automatic retry attempts and email confirmations
Cost	- Hardware and software capex - Ongoing maintenance, overhead and software costs - Personnel resources required - Outages/recovery efforts	- No capital or hardware investment - Eliminates overhead and employee maintenance/outage recovery costs
Redundancy and scalability	- Expansion requires additional capital and operational expenditure: servers, fax modems and phone lines - Overhead is accumulated during use and downtime	- Unlimited scalability with volume-based pricing - Reliable data center infrastructure leveraging redundant load balanced virtualized servers across all aspects of the fax service (transmission, database, document conversion and encryption) - Geographic redundancy with Disaster Recovery - T.38 Internet Fax Codec for reliable cloud-based faxing - Dynamic call profiling for enhanced transmission reliability
Multi-line administration	- Departmental and user set-up requires third-party installation or custom development and maintenance - Multiple physical locations require separate infrastructure instances	- Admin set-up and management of multiple user levels and individual users - No dependency on physical locale - Usage reporting and cost management with admin monitoring

*Multi-User Online Fax meets the technical, operational, and administrative requirements of HIPAA.

Privacy, Security and Redundancy

Organizations rely on fax as an essential way to communicate and share confidential information within and across departments in multiple physical locations. Documentation requiring fax transmission includes:

- Electronic Personal Health Information (ePHI)
- Billing information
- Contracts, financial reports and forms
- Social security numbers and HR documentation
- Invoices and purchase orders
- Tax documentation
- Documentation requiring a signature

This type of documentation is often subject to governmental regulation and personal data privacy laws. Companies need to ensure they adhere to security measures to protect the data of their company and employees to avoid immense financial and legal penalties.

Traditional fax and in-house fax server infrastructure is under scrutiny for security gaps, and poses physical vulnerability, redundancy challenges, and business continuity and disaster recovery risks.

Government and Industry Regulations

Government and industry associations regulating corporations' business practices take strict regard of protecting customer privacy, record-keeping and reporting of sensitive data. Organizations are held to the Health Insurance Portability and Accountability Act (HIPAA) within the health industry, the Gramm-Leach-Bliley Act affecting financial institutions, human resources regulations and other similar laws protecting our business and private data.

Traditional and server-based fax configurations face many limitations in meeting regulations:

- **Unsecure access:** Physical, printed copies of confidential faxes are viewable and open to any persons with access to a public or shared fax machine.
- **No user authentication:** Traditional fax does not track by user or account when sending or receiving fax, creating no chain of custody.
- **Limited tracking:** Traditional faxing has severe limitations in tracking, auditing and ability to reproduce faxes for verification.

Online Fax Multi-Line Security and Compliance

Regulation and law compliance is achieved through improved infrastructure, repeatable processes and auditability of cloud-based fax. Beyond meeting key security compliance requirements, fax-to-email resolves privacy threats by sending tamper-resistant transmissions straight to recipients' inboxes. This direct transmission translates into instant accessibility of important transactions via any email or Internet-enabled device, including smartphones and tablets.

Multi-User Online Fax also addresses regulation requirements by multiple measures:

- **Encryption:** Fax documents can be encrypted in various formats for protection of sensitive data.
- **Archiving:** Allows for an audit-trail of incoming/outbound transmission, viewable online or via email faxes and confirmations.
- **User authentication:** Multi-level admin and user system architecture results in access rights and username/password authentication.
- **Physical security:** Eliminates the archaic, publicly accessible "fax room", instead transmitting data directly to intended recipients.

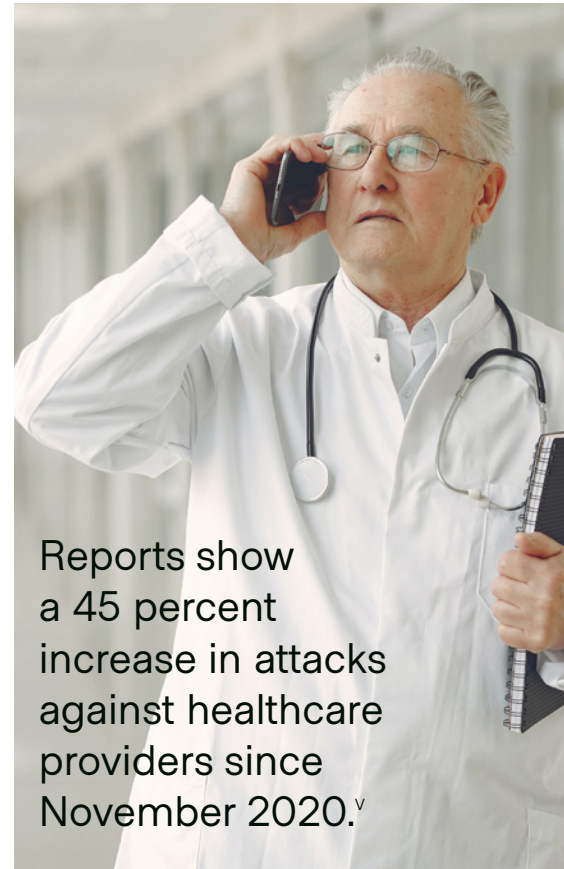
Health Insurance Portability and Accountability Act (HIPAA) Requirements

A recent poll by the Medical Group Management Association (MGMA) found that 89% of healthcare organizations still use a fax machine, primarily to:

- Sharing patient records and lab and/or test results
- Referrals
- Payer communication
- Pharmacy communication^{iv}

Fax remains the dominant form of communication in the healthcare industry, used to transmit sensitive data across settings. The industry relies on fax for sending and receiving prescriptions, claims and billing information, test results, patient data, insurance claims, police reports and countless other highly confidential information, the transmission of which is regulated by HIPAA.

In the case of HIPAA, privacy regulations require “covered entities” including health plans, health care clearing houses and health care providers to meet specific criteria to ensure the security and confidentiality of protected health information (PHI), in being transferred, handled or shared. HIPAA violations can cost companies up to \$1.5M yearly if the accountable organizations fail to comply with HIPAA Security Standards as documented in U.S. law.



Reports show a 45 percent increase in attacks against healthcare providers since November 2020.^v

The following are examples of HIPAA violation cases and settlements:

- A not-for-profit managed care plan in New York paid **\$1,215,780 in a HIPAA breach resulting from insecure photocopier practice**. The company disclosed the protected health information of these affected individuals when it returned multiple photocopiers to leasing agents without erasing the data contained on the copier hard drives. In addition, the investigation revealed that the company failed to incorporate the electronic protected health information (ePHI) stored on photocopier hard drives in its analysis of risks and vulnerabilities as required by the Security Rule, and failed to implement policies and procedures when returning the photocopiers to its leasing agents. ^{vi}
- A 12-physician pediatric and adult dermatology practice group paid **\$150,000 for alleged HIPAA violations arising out of a lost, unencrypted flash drive** containing protected health information (PHI). The group also was required to implement a corrective action plan. ^{vii}
- A five-physician cardiology group reached a **\$100,000 settlement** as a result of a multiyear, ongoing failure to comply with the HIPAA privacy and security requirements by **posting clinical and surgical appointments for patients on a publicly accessible internet-based calendar**. The practice had failed to implement even the most basic HIPAA requirements, such as adopting policies and procedures to safeguard patient information appropriately. ^{viii}

Elements of HIPAA Compliance

The security provisions of HIPAA require “reasonable” efforts to ensure secure fax transmission using traditional fax, including:

- Both the sending and receiving fax machines are only accessible by authorized personnel, subject to security measures
- Destination numbers must be verified before transmission, with recipients notified they have been sent a fax and confirming receipt of fax via telephone
- Faxes must contain a cover letter stating the fax contains confidential data, is being sent with the patient’s authorization, should not be passed to other parties and should be destroyed if received by unintended recipient
- All patient data should be within the fax body, and not in any data fields
- Received faxes must be stored in a secure location
- Transmission and transaction log summaries must be kept, and senders need to maintain confirmation records



Multi-User Online Fax deals with electronic protected healthcare information (ePHI). HIPAA regulations on ePHI are complex and comprehensive, with specific requirements including the following:

- **User Access:** HIPAA establishes guidelines in monitoring user activity, safeguarding passwords, tracking and corroborating user identity, and implementing automatic time-outs.
- **Transmission Security:** Covered entities and business associates are required to implement encryption mechanisms, and guard against unauthorized access to ePHI transmitted over an electronic communications network.
- **Audit Control:** HIPAA compliance requires hardware, software and/or procedural mechanisms that record activity in systems that contain ePHI, as well as ability to retrieve exact copies.
- **Software and Physical Security:** Security measures must include periodic updates, safeguarding against malicious software, limiting physical access to systems and facilities, final disposition procedures, and protection against improper alteration or destruction.
- **Redundancy:** Covered entities and business associates are required to establish policies and procedures for responding to an emergency or other occurrence that may damage systems containing ePHI, as well as implement ability to retrieve ePHI.

Multi-User Online Fax can help organizations under HIPAA regulation comply and protect information flow and exchange. Our secure online fax solutions meet the technical, operational and administrative requirements of HIPAA, so your company is protected.

Employee Mobility and Productivity

Multi-User Online Fax meets the unique business requirements of organizations that have the need for multiple fax accounts and a large monthly volume of transmissions. Scalable plans with large user and volume capacity can be customized to meet your needs.

At an administrative level, organizations can manage users across a single plan with shared usage. Admin Account Management allows administrative users to create and manage users on your fax plan.

Scalable, multi-level administration allows you to:

- Simplify the management and administration of the user population, as everyone shares a single usage plan.
- Support as many toll-free, local or ported numbers as needed.
- Aggregate usage amongst all users, lowering the cost versus paying for individual fax accounts.

Organizations must provide the means to work efficiently wherever travel, customers or meetings take employees, without being constrained to a geographic location or fixed hours. Being limited to an office or LAN network is a growing constriction on employees working to secure customers, sign deals and deliver on responsibilities.

Smart companies equip a migrant sales force, remote employees and a bring-your-own-device business culture with innovative means to be as productive out of the office as they would be in the office.

In leveraging Multi-User Online Fax, employees are able to securely send and receive essential documentation at any time, in any locale—in short, condensing the business cycle. Multi-User Online Fax fits seamlessly into accepted the business workflow of sending and receiving email, enabling instant employee adoption. Employees are no longer barred by the physical limitations of legacy fax.



Multi-User Online Fax User Functionality

Dedicated Fax Numbers	▪ Send faxes anywhere in the U.S., Canada and the Caribbean and receive faxes from anywhere in the world ▪ Options to port existing U.S. local and toll-free fax numbers ▪ Option to add new toll-free and U.S. Local fax numbers
Intuitive Online Fax Interface	▪ No software installation required ▪ Anywhere access through a simple online interface ▪ Contact management with CSV upload ▪ Full functionality, including folder management (inbox, sent faxes, outbox), cover page settings, contact management and personal preferences
Fax Sending and Receipt	▪ Browser and email compatible ▪ Send and receive faxes as email attachments in any email client (Webmail, Outlook, Gmail, etc.) on any device ▪ View and download faxes from email or the Online Fax interface in PDF or TIFF format
File Support	▪ Send popular file formats, including: PDF, MS Word (DOC, DOCX, XML), MS Excel (XLS, XLSX), MS PowerPoint (PPT, PPTX), TXT, SVG, SVG Tiny, EMF, WMF, CGM, BMP, PNG, TIFF, JPEG, JPEG 2000 ▪ Select and manage cover pages
Secure Archiving and Storage	▪ Faxes are archived and securely stored in your Online Fax interface for one year ▪ Faxes received to email are stored until deleted
sFTP Support / Workflow	▪ Incoming faxes can be received over sFTP to allow for workflow management within other enterprise document management systems
Additional Features	▪ Send fax to up to 20 individual fax recipients simultaneously ▪ Receive email confirmations on outbound fax ▪ Auto-resend attempts on incomplete outbound fax

Implement Cost Savings and Other Benefits with Multi-User Online Fax

While managing in-house fax server architecture allows organizations an element of ownership and control, businesses are fronting substantial upfront capital costs in hardware and software. Factoring in operating expenditure of resource consumption (energy, networking, telephony, paper, toner, etc.) and time-loss, the cost per fax is increasing year over year.

In-house solutions require ongoing labor costs in providing continuous management and support; many organizations employ a full-time or fractional employee dedicated to server maintenance. Fax servers also tend to incur variable and often hidden costs associated with consumption and overhead. The aging machinery is increasingly difficult and costly to maintain.

Multi-User Online Fax eliminates up front and hidden costs:

- Hardware capital, renting and maintenance
- Hardware support costs
- Land lines and long distance charges
- Power, paper and ink consumption
- Wasted personnel time

In the case of in-house fax servers, **Multi-User Online Fax** also eliminates:

- Server capital, maintenance and integration costs
- Cost of deploying and supporting redundant system architecture in case of outage
- Initial development costs for regulation compliance (encryption, archiving), as well as regular audit checks to stay compliant
- T1 networking and telephony costs
- Vendor support fees
- Training and engineering maintenance



Consider: Increasing paper consumption is largely driven through the business sector, led by North Americans consuming upwards of 500 lbs of paper per capita annually.^{ix} The ambition to implement and advertise on “green” business practices is an additional driver on top of security and mobility in the growing adoption of online fax.

Cost Comparison

Doctor's Office – Traditional Fax

A typical doctor's office has one fax line receiving approximately 200 faxes a month, handling medical records, insurance claims and more. This small business can reduce their costs by 80% by replacing their traditional fax technology with Online Fax. **More importantly, this business is protecting themselves and their patients against HIPAA violations.**

Expenses	Traditional fax costs (per month)	Online Fax costs (per month)
Hardware*	\$10.42	Not applicable
Dedicated fax line	\$35.00	Not applicable
Miscellaneous**	\$31.68	Not applicable
Total cost per month	\$77.10	\$13.00
Cost per page	\$0.39	\$0.07
Savings		83%

*Cost represents the cost of a physical machine at a price point of \$250 amortized over two years.

**Miscellaneous includes the cost of fax supplies such as paper and toner.

Cost Comparison: Enterprise – Fax Server

Enterprises continue to rely heavily on fax, with an average of 500 fax lines handling 12,500 fax transmissions monthly.

Implementing Multi-User Online Fax will reduce costs by two thirds, freeing up IT resources and continued hardware investment. Staff will be able to access important documents via email and archived in a secure online portal.

Expenses	Fax server costs (per month)	Online Fax Multi-Line costs (per month)
Hardware*	\$316.67	Not applicable
Software	\$220.83	Not applicable
Dedicated fax lines	\$350.00	Not applicable
Set up	\$16.67	Not applicable
Training	\$116.67	Not applicable
Maintenance	\$160.00	Not applicable
In house support	\$866.67	Not applicable
Miscellaneous**	\$278.94	Not applicable
Total cost per month	\$2,326.44	\$848.25
Cost per page	\$0.19	\$0.07
Savings		64%

*Cost represents physical hardware required to deploy a physical fax server environment to support 500 employees and 150,000 faxes a year, amortized over two years.^x

**Miscellaneous includes the cost of fax supplies such as paper and toner.

Deploying Multi-User Online Fax

Multi-User Online Fax fits seamlessly into the accepted business workflow of sending and receiving email, enabling instant employee adoption.

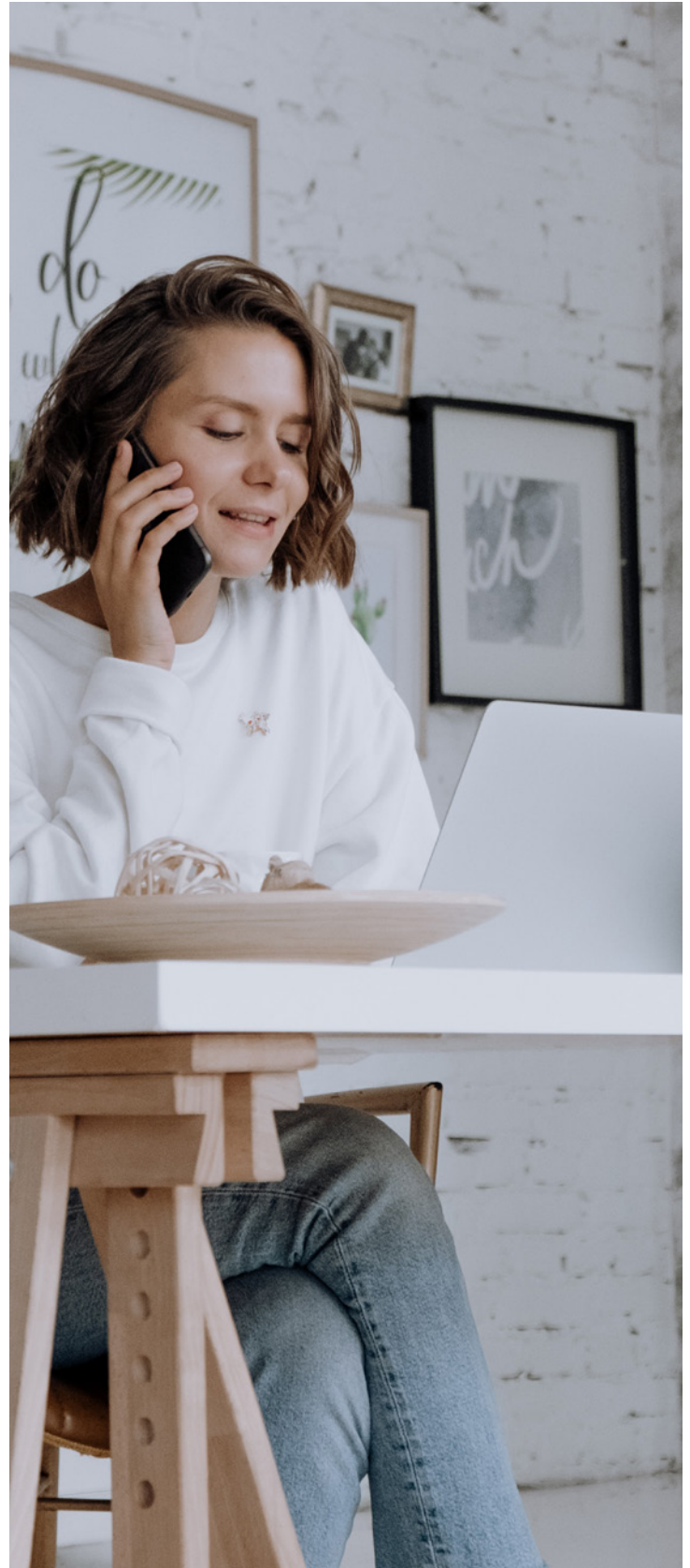
Implementing Multi-User Online Fax helps replace legacy fax infrastructure with a SaaS service for transmitting and administering fax traffic. Online Fax also supports on-demand scalability and eliminates the reliance on analog fax lines, servers, software support and upgrades or fax machines.

Deploying Multi-User Online Fax is simple, with number porting capabilities, simple provisioning and managed migration from your current fax system.

Number Porting

Multi-User Online Fax supports local number porting. Number porting ensures uninterrupted service during transition of the legacy fax infrastructure to Online Fax.

Customers need to provide signed Letter(s) of Authorization, which will be processed and submitted to the network service provider, Number Portability Administration Center (NPAC) and original carrier. You will receive notice your number porting is scheduled once approved, including the day and time when the port will occur so you can begin using your online fax with your existing fax number.



Conclusion

Core business functions are moving to the cloud; cloud adoption has become a critical component of your business processes to empower your workforce and engage with customers, prospects and stakeholders.

Fax remains a critical component of your document workflow, as the primary accepted mode of transmission for legally-binding documents across contracts, HR documentation, invoices and more. Multi-User Online Fax will easily enable your business to accept and deliver legal documents, especially those protected by government legislature.

Trust Multi-User Online Fax to deliver efficiency across your workforce, reduce your costs and ensure your data remains private and secure at all times. Call for your custom quote.



ⁱ Verified Market Research. Global Online Fax. Market size, status and forecast to 2027. 2020.

ⁱⁱ IDG. 2020 IDG Cloud Computing Study. 2020.

ⁱⁱⁱ Datometry. Why Are So Many Enterprises Moving to the Cloud? 2018.

^{iv} MGMA. Time warp: The lingering legacy of fax in medical practices. 2019.

^v Check Point. Attacks targeting healthcare organizations spike globally as COVID-19 cases rise again. 2020.

^{vi} HHS.gov. HHS Settles with Health Plan in Photocopier Breach Case. 2017.

^{vii} HIPAA One. Adult & Pediatric Dermatology Fined \$150,000 For Lost Thumb Drive. 2014.

^{viii} HHS.gov. HHS Settles Case with Phoenix Cardiac Surgery for Lack of HIPAA Safeguards. 2017.

^{ix} Environmental Paper Network. "The State of the Paper Industry 2011." 2011.

^x Concord Fax. Moving Fax into the Cloud.